

Bachelor in Computer Applications

Course Title: **Economics**

Code No: Semester: **2**

Full Marks: **60** Pass Marks: **24** Time: **3 hours**

Candidates are required to answer the questions in their own words as far as practicable.

Note: Group A (Multiple Choice Questions) is not available from the source. The paper begins with Group B.

Group B

1. What is indifference curve? Explain the consumer's equilibrium under ordinal utility approach.
2. Define national income. Explain the difficulties of measuring national income in developing countries like Nepal.
3. List out the features of monopoly? Explain the short run and long run equilibrium of a firm under monopolistic market?
4. "Scarcity and choice are central issues of economics". Justify the statement.
5. Describe the major determinants of demand.
6. Given the Price demand schedule below.

Price	50	40	30	20	10
Quantity	5	10	15	20	25

Find the price elasticity of demand when price changes from 40 to 20 and 20 to 40 by percentage method and also compare the results between them.
7. Explain the law of returns to scale.
8. What is marginal rate of substitution (MRS)? Write the reason to diminishing MRS.
9. Calculate TC, AFC, AVC, AC, and MC under the total fixed cost 100, from the following cost schedule.

Output	0	1	2	3	4	5	6	7	8	9	10
TVC	0	1	2	3	4	5	6	7	8	9	10
10. Explain, the uses of quantitative instruments under the expansionary monetary policy?
11. Let the demand and cost functions are $P = 12 - 0.4Q$ and $C = 5 + 4Q + 0.6Q^2$ respectively. Then find the equilibrium price, quantity, total revenue, total cost and total profit.
12. Find the GDPMP, GNPM, and NNP from the following information.

Items (Rs in crores)	Gross fixed domestic capital formation	200	Net exports	(-14)	Net indirect taxes	94	Net changes in stock	26	Private final consumption expenditure	500	Government's final consumption expenditure	150	Net factor income from abroad	50	Capital consumption allowance	80
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